

FEDERAL MARITIME COMMISSION

IN THE MATTER OF
PORT HOUSTON ET AL.

Special Investigation No. 25-01

Served: July 11, 2025

BY THE COMMISSION: Rebecca F. DYE, Daniel B. MAFFEI,
and Max M. VEKICH, *Commissioners*.

Order Initiating a Nonadjudicatory Investigation

The Federal Maritime Commission (Commission) investigates conduct that may violate the Shipping Act and the Commission's regulations. 46 U.S.C. § 41302(a). The Commission's Bureau of Enforcement, Investigations, and Compliance (BEIC) is charged with conducting investigations and recommending enforcement actions. 46 C.F.R. § 501.3(f)(3)(ix).¹ After a review of evidence relevant to the inquiry or issue, BEIC may determine whether to recommend an enforcement action. Under its authority, the Commission may also determine that a formal investigation is necessary to properly exercise its regulatory duties and initiate a nonadjudicatory investigatory proceeding under Subpart R of the Commission's Rules of Practice and Procedure, 46

¹ 46 C.F.R. § 501.3(f)(3)(ix) references BEIC's precursor, the Bureau of Enforcement.

C.F.R. §§ 502.281–502.291; *see also* 46 U.S.C. § 41302(a). The Commission’s designated representative may then issue orders or subpoenas to receive evidence relating to any matter under investigation. 46 C.F.R. § 502.286.

Accordingly, the Commission is initiating a nonadjudicatory investigation and designating the Director of BEIC to conduct the investigation under the authority of 46 C.F.R. § 502.281. The investigation will examine Port Houston’s Terminal Service Agreements (TSAs) with: CMA CGM S.A., Evergreen Line Joint Service, Hapag-Lloyd AG, Maersk Line A/S, Mediterranean Shipping Co., S.A., Ocean Network Express Pte. Ltd., Zim Integrated Shipping Services Ltd., and other relevant parties as they are found. The BEIC Director may assign responsibility to other BEIC staff to assist in this nonadjudicatory investigation.

This nonadjudicatory investigation will seek information and data relating to the following lines of inquiry:

(1) The circumstances that led to the concept, signing, and implementation of Port Houston’s TSAs with common carriers in the Texas Gulf, namely the included Commitment Clause and Shortfall Amount which bind participating common carriers to commit a percentage of their loaded containers through Port Houston

(a) This includes, but is not limited to—

the parties involved, any previous iterations of the Commitment Clause or Shortfall Amount, reasons why certain parties consented or refused to sign Port Houston’s TSAs, and any unreasonable, unfair, unjust, or discriminatory behaviors related to Port Houston’s TSAs.

(2) The impact of Port Houston’s TSAs, namely its Commitment Clause and Shortfall Amount, on the Texas Gulf’s

international ocean transportation supply system—chiefly whether the Texas Gulf remains competitive and reliable.

(3) Whether there are any unfair and deceptive practices related to Port Houston’s TSAs.

The nonadjudicatory investigation may seek information from ocean common carriers including but not limited to the ocean carriers listed above, from other marine terminal operators, other port authorities, and other participants in the maritime industry.

Pursuant to 46 C.F.R. § 502.281, the Director of BEIC is specifically authorized to invoke or utilize the Commission’s compulsory processes including the issuance of subpoenas and the taking of evidence under oath to accomplish this nonadjudicatory investigation.

Pursuant to 46 C.F.R. § 502.291, the Commission directs the Office of the Secretary to publish this order on the Commission docket. All reports, documents generated in conducting this investigation, and materials gathered in the course of the investigation shall remain confidential and will not be made public unless and until otherwise ordered by the Commission or BEIC under its delegated authority.

By the Commission.

David Eng
Secretary